

REPORT

The Managed Detection And Response Services Landscape, Q3 2024

Forrester's Overview Of 34 Providers

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You can use managed detection and response (MDR) services to rapidly detect, investigate, and respond to unauthorized and/or suspicious activity, assure customers via threat hunting that adversaries haven't gained access, and recommend actions to improve overall security posture. But to realize these benefits, you'll first have to select from a diverse set of providers that vary by size, type of offering, geography, and use case differentiation. Security and risk pros should use this report to understand the value they can expect from a managed detection and

response services provider, learn how providers differ, and investigate options based on size and market focus.

Market Definition

Managed detection and response (MDR) services providers augment, complement, and upskill clients' internal security teams and security operations centers (SOCs). MDR services allows S&R leaders to work with a provider that brings expert security practitioners with global visibility into threats and threat actors, detection engineering skills, strong threat hunting capabilities, and the ability to ingest logs from different data sources and integrate them with various security tools. Forrester defines managed detection and response services as follows:

Managed detection and response services begin with extended detection and response (XDR) tools and augment the data from those tools with telemetry from network, identity, cloud, APIs, applications, and other log sources to produce high-fidelity detections, conduct investigations, provide remote incident response support, enable security automation, initiate threat hunts to identify adversaries that circumvented security controls, and help improve the overall security posture of their clients.

S&R professionals use MDR providers to obtain 24/7 monitoring of their security events, augment the expertise of their existing SOC analysts, provide stability when personnel depart the organization, assist with or perform response actions, offer assurance through threat hunting that sophisticated adversaries are not in the environment, and strategically

prioritize postural improvements to make the environment more resilient when facing cybersecurity events and incidents.

Business Value

MDR services providers help security teams reduce the inherent asymmetric advantage attackers operate with by enhancing the security team's ability to protect the customers, employees, partners, suppliers, and investors that make up their business ecosystem. S&R professionals implement MDR services to:

1. **Rapidly detect, investigate, and respond to unauthorized and/or suspicious activity.** MDR providers bundle network traffic insights, behavioral analytics, threat intelligence, and deep technical expertise into actionable information. This information is used to generate alerts, aid forensics, and guide incident response efforts, which providers sometimes execute for their clients. MDR providers' delivery capacity and specialization relieves some pressure from customers as these providers operate at larger scale and have broader insights.
2. **Assure customers via threat hunting that adversaries haven't gained access.** Persistence is a key component of compromise. It saves threat actors time and provides "recurring revenue." To combat this, customers need assurance that, beyond the immediate incident response procedures, embedded threat actors are identified and eliminated. MDR providers do this with threat hunting — human-led, hypothesis-driven efforts that are essential to their service delivery. Regular threat hunting goes a step beyond analytics and draws on experience and creative efforts to find indicators of compromise or beacons.

- 3. Recommend actions to improve overall security posture.** MDR providers provide insights to help improve organizations' security posture. Data obtained from monitoring, detection, and the nature of the threats handled can provide practical recommendations and help security leaders prioritize their initiatives. Good MDR providers don't just tell you something's broken; they help you prioritize the fix.

Market Maturity

MDR continues its ascent as an established, growing service with expansion, innovation, and an abundance of competition. Detection surfaces continue to expand across various infrastructure types, identity plays a prominent role, and new services continue to emerge to augment and complement existing MDR provider portfolios (see Figure 1). Managed detection and response services has evolved into an established market that:

- 1. Commoditizes basic detection capabilities.** As a result, extended detection and response (XDR) has overtaken the original technology platform (endpoint detection and response [EDR]) of MDR as the primary delivery component upon which the service is built. This matches the progression of XDR overtaking EDR as a product; as Forrester has said previously, every product eventually becomes a service.
- 2. Races to expand a services portfolio to maintain growth.** To keep the hockey stick of growth that vendors — and investors — count on, MDR providers continue to launch new service areas that include converting one-time engagements like tabletops and automation and orchestration development into recurring services. Additionally, providers have placed a gratuitous and near-indecent emphasis on

exposure management while leaving ambiguous the “response” outcomes of that service.

1. **Faces more competition from all sides than ever before.** This year some variant of “detection and response” became the term du jour for cybersecurity services. Services using the “*DR” approach include data detection and response (DDR), application detection and response (ADR), identity detection and response (IDR), the redundant identity threat detection and response (ITDR), and of course the never-really-did-exist network detection and response (NDR), just to name a few. If imitation is really the sincerest form of flattery, then these markets copying the MDR naming convention confirms it as an established cybersecurity space.

Managed detection and response services is an **established** market.



Key market dynamics

MAIN TREND	PRIMARY CHALLENGE	TOP DISRUPTOR
Generative AI assistants are ubiquitous and of dubious benefit to customers.	The market is oversaturated due to hundreds of vendors offering different types of MDR services.	IT service providers and MSPs are offering low-cost services, commoditizing the market and reducing provider margins.

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Figure 1 - Managed Detection And Response Services Market Maturity And Key Dynamics

Market Dynamics

As the MDR market moves toward maturity, competition grows more fierce, with new competitors, different combinations of services, and higher expectations from clients on what providers should offer. With more competition comes downward pressure on prices, forcing the second bundling and pricing overhaul in three years from many providers. S&R pros will face a plethora of provider options and should pay attention to the following market dynamics:

1. **Main trend.** Generative AI (genAI) assistants are ubiquitous and of dubious benefit to customers. Assistants, investigators, copilots, and other names denote the latest and greatest “feature” to emerge for MDR providers: the generative AI assistant. There’s evidence these assistants do help accelerate work effort in summarizing incidents and event writeups, but the benefit to the clients of MDR providers remains murky. Savings from AI assistants aren’t being passed along to clients, which means the productivity gains contribute to higher margins for providers.
2. **Primary challenge.** The market is oversaturated due to hundreds of vendors offering different types of MDR services. Competition is good, but too much competition results in chaos. Security leaders hope they can find a provider capable of solving their problems versus being conned by a charlatan. Accomplished vendors with real MDR bonafides cannibalize each other’s client base while copycats enter the market to distort things further. Platformization and a desire for consolidation from security leaders will help reduce the noise, but that’s minimal relief for those looking to find a provider or extend their existing relationship in the near term.

3. **Top disruptor.** IT service providers and managed service providers (MSPs) are offering low-cost services, commoditizing the market and reducing provider margins. Some of that new competition is coming from security-adjacent spaces like MSPs and IT service providers that are now bundling managed IT services with MDR. These combinations are especially effective with small to midsize businesses when they combine with new service offerings like exposure management and vulnerability prioritization. This works best when the IT provider can facilitate the “response” part of MDR by deploying patches to mitigate issues.

Notable Providers

Security and risk leaders can start investigating specific providers based on their geographic focus, industry focus, deployment options, and size. Across all markets, Forrester defines large providers as having \$250 million or more, medium providers as having \$100 million to less than \$250 million, and small providers as having \$10 million to less than \$100 million in category revenue (see Figure 2).

Provider	Geographic focus	Industry focus	Deployment model(s)	Size
Accenture ¹	NA; EMEA	Financial services Manufacturing/production of high-tech products	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
Arctic Wolf	NA	Financial services Healthcare Manufacturing/production of industrial products	Multitenant SaaS	■ ■ ■
Binary Defense	NA	Financial services Manufacturing/production of high-tech products Manufacturing/production of industrial products	On-premises Hosted, private SaaS Multitenant SaaS	■
BlackBerry ¹	NA; EMEA	Government Healthcare Manufacturing/production of industrial products	Hosted, private SaaS Multitenant SaaS	■
Blackpoint Cyber ¹	NA	Financial services Healthcare Professional services	Multitenant SaaS	■
BlueVoyant	NA; EMEA	Financial services Government Manufacturing/production of high-tech products	Multitenant SaaS	■ ■
Critical Start	NA	Financial services Manufacturing/production of high-tech products Professional services	Multitenant SaaS	■
CrowdStrike ¹	NA	Financial services Healthcare Manufacturing/production of high-tech products	Multitenant SaaS	■ ■
CyberProof	NA; EMEA	Financial services Healthcare Retail	On-premises Hosted, private SaaS Multitenant SaaS	■
Deepwatch	NA	Financial services Healthcare Retail	On-premises Hosted, private SaaS Multitenant SaaS	■
eSentire	NA; EMEA	Financial services Healthcare Manufacturing/production of industrial products	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
Expel	NA	Financial services IT/tech services Manufacturing/production of high-tech products	Multitenant SaaS	■ ■
EY	NA; EMEA; APAC	Financial services Government Manufacturing/production of consumer products	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
Huntress ¹	NA; EMEA	Financial services IT/tech services Manufacturing/production of high-tech products	Multitenant SaaS	■ ■
IDM	NA; EMEA; APAC	Financial services	On-premises	■

Company	Regions	Services	Deployment Models	Market Presence
IBM	LATAM	Manufacturing/production of industrial products Transportation	Hosted, private SaaS Multitenant SaaS	
Kroll	NA; EMEA	Financial services Healthcare Professional services	On-premises Hosted, private SaaS Multitenant SaaS	■
Kudelski Security ¹	NA; EMEA	Financial services Insurance Manufacturing/production of industrial products	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
Microsoft ¹	NA; EMEA; APAC	Financial services Healthcare Retail	Multitenant SaaS	■
NCC Group	EMEA	Education and social services Financial services Insurance	On-premises Hosted, private SaaS Multitenant SaaS	■
NTT DATA	NA; EMEA; APAC	Financial services Government Manufacturing/production of industrial products	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
Open Systems ¹	NA; EMEA	Financial services Manufacturing/production of high-tech products	On-premises Hosted, private SaaS Multitenant SaaS	■
OpenText	NA; EMEA	Financial services Healthcare Retail	Hosted, private SaaS Multitenant SaaS	■
Optiv	NA	Financial services Healthcare Professional services	Hosted, private SaaS Multitenant SaaS	■
Palo Alto Networks ¹	NA; EMEA; APAC	Financial services Healthcare IT/tech services	Multitenant SaaS	■
PwC ¹	NA	Financial services Healthcare IT/tech services	On-premises Multitenant SaaS	■
Rapid7	NA	Financial services Healthcare IT/tech services	Multitenant SaaS	■ ■ ■
Red Canary	NA	Financial services Manufacturing/production of industrial products Professional services	Multitenant SaaS	■ ■
ReliaQuest	NA	Financial services Healthcare Manufacturing/production of consumer products	Multitenant SaaS	■ ■ ■
Secureworks	NA; EMEA; APAC	Financial services Insurance Manufacturing/production of industrial products	Multitenant SaaS	■ ■ ■
SentinelOne ¹	NA; EMEA; APAC	Financial services Insurance Manufacturing/production of industrial products	Multitenant SaaS	■ ■
Trend Micro	NA; EMEA; APAC	Financial services Government Healthcare	On-premises Multitenant SaaS	■
Trustwave	NA; EMEA; APAC	Financial services	On-premises	■

Hustwave	NA; EMEA; APAC	Financial services Healthcare Transportation	On-premises Hosted, private SaaS Multitenant SaaS	
Wipro	NA; EMEA; APAC	Financial services Insurance Retail	On-premises Hosted, private SaaS Multitenant SaaS	■ ■
WithSecure	EMEA	Financial services IT/tech services Manufacturing/production of high-tech products	Multitenant SaaS	■

Size ■ ■ ■ Large ≥\$250M ■ ■ Medium \$100M to <\$250M ■ Small \$10M to <\$100M

Note: Geographic focus indicates regions where the provider’s product revenue in this category is greater than or equal to 15% of its total product revenue.

1. The information about this provider includes Forrester’s estimates.

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Figure 2 - The Managed Detection And Response Services Landscape, Q3 2024

Top Use Cases

We’ve identified the following core use cases for this market: detection, investigation, response, threat hunting, and integrations. These are the use cases that buyers most frequently seek and that they expect MDR services providers to address. Beyond these core use cases, buyers often look for providers that focus on certain extended use cases. We’ve identified the following use cases as extended: detection engineering, log ingest, vulnerability prioritization, managed security information and event management (SIEM), and security posture improvement. Some buyers look to address these use cases in addition to the core ones, but MDR services solutions may less commonly address them (see Figures 3 and 4).

Use case	Objective	Top differentiators
Detection	Use of telemetry and signals to detect anomalous and unauthorized behavior	• Native SaaS detection • Kubernetes detection
Investigation	Collect, analyze, and preserve forensic evidence to classify and determine best next steps during an incident	• Federated search • Generative AI assistant
Response	Guide and execute automated and nonautomated actions on behalf of clients to contain, remediate, or recover from an incident	• Identity response • Cross-client benchmarks
Threat hunting	Human-led, hypothesis-driven exercise to proactively detect adversary activity	• Support for multiple detection surfaces • Hypothesis-driven threat hunts
Integrations	Enable siloed applications to work together in real time via APIs and events	• Federated search • Automation and orchestration

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Figure 3 - Managed Detection And Response Services: Core Use Cases

Use case	Objective	Top differentiators
Detection engineering	Engineering-focused capability responsible for building new detection rules	• Support for client-created detections • Automation and orchestration
Log ingest	Validate, transform, and enrich data and move it to a location and format conducive to analytics and insights	• Federated search • MITRE ATT&CK mapping
Vulnerability prioritization	Provide context based on vulnerabilities to assist teams with triage and remediation	• System criticality • Federated search
Managed SIEM	Managing the application layer of a SIEM platform to build queries, dashboards, and detections and run investigations	• Dashboarding and reporting • Federated search
Security posture improvement	Provide proactive information to help security teams harden their overall security posture and maturity	• System criticality • Policy violations and misconfigurations • MITRE ATT&CK mapping

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Figure 4 - Managed Detection And Response Services: Extended Use Cases

Functionality By Use Case

We've identified the 15 most important functionalities across the 10 most important use cases. Select the use cases that are most relevant to your business requirements and then use the following tables as a guide to choose the functionalities that matter most for your technology evaluation and provider selection criteria (see Figures 5 and 6).

Functionality	Detection	Investigation	Response	Threat hunting	Integrations
Standard detection (end-user compute, server, network, email)	●	●	●	○	○
Cloud detection (IaaS, PaaS, AWS, Azure, GCP)	●	●	●	○	○
Containers and workload detection (Docker, Kubernetes, etc.)	●	●	●	○	○
SaaS detection	●	●	○	○	●
Response: common (endpoint, network)	●	○	●	○	●
Response: identity	●	○	●	○	○
Automation and orchestration	●	●	●	●	○
System criticality	●	●	○	●	●
Dashboarding and reporting	●	●	●	●	○
Generative AI assistant	●	●	○	○	●
Federated search	○	●	●	○	●
MITRE ATT&CK mapping	○	○	○	○	●
Provider support for client-created detections	●	●	●	●	●
Policy violations and misconfigurations	●	●	○	○	●
Cross-client benchmarks	●	○	○	●	○



Primary functionality
required for a given use case



Secondary functionality
required for a given use case



Little to no functionality
required for a given use case

Figure 5 - Managed Detection And Response Services: Functionality By Core Use Case



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Figure 6 - Managed Detection And Response Services: Functionality By Extended Use Case

Provider Focus: Top Three Extended Use Cases

Different MDR providers emphasize different portions of the detection surface and response types, and others now focus on vulnerability prioritization, managed SIEM, and security posture improvement. We asked each participating provider in the report to select the top three extended use cases that it focuses on. These are three use cases, beyond the core ones, that the provider wants customers to recognize as its areas of focus. This table doesn't represent available capabilities and may not represent the only use cases that providers serve (see Figure 7).

Provider	Detection engineering	Log ingest	Vulnerability prioritization	Managed SIEM	Security posture improvement
Arctic Wolf	Q	Q			Q
Binary Defense	Q			Q	Q
BlackBerry	Q	Q		Q	
Blackpoint Cyber	Q		Q		Q
BlueVoyant	Q	Q			Q
Critical Start	Q	Q	Q		
CrowdStrike	Q	Q			Q
CyberProof	Q		Q		Q
Deepwatch		Q		Q	Q
eSentire	Q		Q		Q
Expel	Q	Q			Q
EY	Q		Q		Q
IBM			Q	Q	Q
Kroll	Q			Q	Q
Microsoft	Q		Q		Q
NCC Group	Q	Q		Q	
NTT DATA		Q	Q	Q	
OpenText	Q	Q			Q
Optiv	Q	Q			Q
Palo Alto Networks		Q	Q		Q
PwC	Q		Q		Q
Rapid7	Q			Q	Q
Red Canary	Q	Q			Q
ReliaQuest	Q	Q			Q
Secureworks	Q	Q			Q
Trend Micro	Q		Q		Q

Trustwave	Q			Q	Q
Wipro	Q	Q		Q	
WithSecure	Q		Q		Q

Note: The following providers declined to provide use case information in our questionnaire: Accenture, Huntress, Kudelski Security, Open Systems, and SentinelOne.

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Figure 7 - Managed Detection And Response Services: Extended Use Case By Provider

Supplemental Material

Methodology

To complete our review, Forrester requested information from providers. If providers didn’t share this information with us, we made estimates based on available secondary information. We’ve marked all estimates with a note. Forrester shared a preview of this report with participating providers before publishing.

Companies We Researched For This Report

Forrester researched the following companies for this report.

Accenture

Arctic Wolf

Binary Defense

BlackBerry

Blackpoint Cyber

BlueVoyant

Critical Start

CrowdStrike

CyberProof

deepwatch

eSentire

Expel

EY

Huntress

IBM

Kroll

Kudelski Security

Microsoft

NCC Group

NTT DATA

Open Systems

OpenText

Optiv

Palo Alto Networks

PwC

Rapid7

Red Canary

ReliaQuest

Secureworks

SentinelOne

Trend Micro

Trustwave

Wipro

WithSecure

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